Lecture 02 (2026-05-03)

Quick Summary

The lecture covers the foundational accounting principles and concepts (13 total) that govern how financial information is recorded and reported. It also establishes a management-centric framework for identifying assets and liabilities based on "future benefit" vs. "future obligation," while distinguishing these "point-in-time" items from "period-based" items (Income and Expenses). It further introduces the components of Owner's Equity, specifically how profit is distributed or retained, and demonstrates how to balance the accounting equation using a "no-negative" representation for easier calculation. This calculation method relies on grouping items with similar "movement" behaviors (e.g., items that generally represent "out" flows or resource consumption vs. "in" flows or obligations).

Key Definitions

- **Business Entity:** The owner is separate from the business; the business is a distinct entity.
- **Going Concern:** The assumption that the company has infinite life and will continue operating indefinitely.
- **Money Measurement:** Only transactions that can be measured in terms of money are recorded in the books.
- **Cost Concept:** Assets are recorded at their cost price (adjusted for depreciation) rather than selling price.
- **Dual Aspect:** Every plan or transaction has two sides, recorded as a Debit and a Credit.
- **Accounting Period:** The division of the company’s life into distinct time periods to facilitate easier reporting.
- **Conservatism:** A principle of caution where the company is skeptical of profits/gains (requiring high certainty to record) but less skeptical about losses (recorded as soon as they are likely).
- **Realization (Revenue Recognition):** Recording revenue when the company is "reasonably sure" it will occur, based on industry practice.
- **Accrual Concept:** Recording transactions in the period they actually happen, regardless of whether cash has changed hands. The Statement of Profit and Loss is prepared on an accrual basis.
- **Matching Concept:** The requirement to record expenses in the same period as the related requirements to correctly determine profit.
- **Consistency Principle:** Once a specific accounting method is adopted, it must be used consistently until a better method is justified.
- **Full Disclosure:** The requirement that all information of material importance must be disclosed; nothing should be hidden.
- **Materiality:** The rule that significant items must be included in reports. If an item is "inconsequential" (small value) and the effort/cost to track it as an asset is high, accounting rules can be flouted (e.g., a $400 dustbin can be recorded as an immediate expense rather than an asset).
- **Asset:** A resource that provides a **future benefit** at a given point in time.
- **Liability:** A resource that represents a **future obligation** at a given point in time.
- **Income:** Revenue generated through operations over a **given period** (recurring in nature); not a point in time.
- **Expense:** Costs incurred for a **given period** of operation (recurring in nature).
- **Discount Allowed:** A reduction in price given to a customer; categorized as an **Expense**.
- **Discount Received:** A reduction in price received from a supplier; categorized as an **Income**.

- **Other Income:** Revenue generated from activities outside the core business operations (e.g., selling scrap/old equipment).
- **Owner's Equity:** Capital provided by shareholders or owners who have purchased a stake in the company. It represents the "ownership" portion of the business (Capital + Income - Expenses - Dividends).
- **Dividend:** The portion of profit shared/distributed back to the owners of the company.
- **Retained Earnings:** The portion of profit that is not distributed to owners but is kept by the company for future use; these are added to "reserves and surplus."
- **Drawings:** The term used when an individual owner withdraws money/resources from the business for personal use (functionally similar to Dividends in a corporate context).

Worked Examples

Identifying Asset vs. Liability (Management Perspective):

- **Rule:** Stand at a point in time and look forward. If it provides a **future benefit**, it is an **Asset**. If it creates a **future obligation**, it is a **Liability**.
- **Cash:** Represents a future benefit $\rightarrow$ Asset.
- **Unused Raw Materials:** Since they can be used in the next period, they provide a future benefit $\rightarrow$ Asset.
- **Accounts Receivable:** These are items where a customer owes the business. From the company's perspective, this is a benefit $\rightarrow$ Asset.
- **Pre-received Income (e.g., Paid Tuition):** If a student pays a fee in advance, the institution has an obligation to provide the service $\rightarrow$ Liability for the institution.
- **Loose Tools (Nuts/Bolts):** These can be used in the next accounting period. Since they have a future use $\rightarrow$ Asset.

  Loans:
  - A loan **given** by the company $\rightarrow$ Asset (Future benefit).
  - A loan **taken** by the company $\rightarrow$ Liability (Future obligation).

  Salary/Payable Nuance:
  - If a worker is owed a salary (not yet paid) $\rightarrow$ **Asset** (Receivable Income) from the employee's perspective.
  - If the company owes a salary to a worker $\rightarrow$ **Liability** from the company's perspective.
- **Stationery (Chalks, Pens):** Items kept in the office for ongoing use $\rightarrow$ Asset.
- **Multi-year Advertisement:** An ad with a benefit lasting several years (e.g., a 5-year sponsorship) is an Asset because the benefit is not consumed in one period.
- **Investment in Other Companies:** Investing in a partner or subsidiary $\rightarrow$ Asset.
- **Insurance Claim:** If a claim is accepted but the money is not yet received, it is an **Asset** (future benefit).
- **Insurance Premium:** The payment for accrued coverage during a specific period $\rightarrow$ **Expense**.
- **Bad Debts:** Failure to collect payment in a period $\rightarrow$ **Expense**.
- **Bad Debts Recovered:** Recovery of a previously written-off debt $\rightarrow$ **Income**.
- **Goods Lost by Fire:** A loss that has already occurred $\rightarrow$ **Expense**.

Materiality Calculation/Decision Logic:

- **Scenario A (Dustbin/Stapler):** An item (like a dustbin) may technically last 10 years and thus be an asset. However, if the cost is very low (e.g., $400) and the administrative effort to track depreciation is high compared to the value, it is recorded as an expense.
- **Scenario B (Curtains):** Whether an item is "material" depends on the business scale. For a standard office, curtains are a low-cost expense; for a hotel or hospital, they are a significant expenditure and are treated as an asset.

Repair vs. Capital Expenditure:

- **Rule:** If a repair or replacement of a component is substantial enough to provide the asset with a "new life" or significantly extend its lifespan (e.g., if the repair cost is high, such as 80-90% of the original cost), it is **capitalized** and treated as an **Asset**.
- **Routine Maintenance:** Standard repairs that do not significantly change the asset's life are treated as an **Expense**.

Human Resources & Training:

- **Question:** Are human beings assets?
- **Rule:** No, humans are **Expenses**.
- **Reasoning:** A person's benefit is tied to the immediate period of payment. If they aren't paid next enough, they stop providing the benefit. Because the benefit expires at the end of the payment cycle, they are an expense.
- **Nuance:** Training costs for a specific skill (e.g., training on computers) may provide a multi-year benefit. While the training itself represents an investment/asset, the individual remains an expense.

Software Licenses & Depreciable Assets:

- **Scenario:** A company purchases a license for 10 lakhs for a 5-year term.
- **Step 1 (Point in Time):** At the time of purchase, it is an **Asset** because it has a benefit for more than one year.
- **Step 2 (Period/Depreciation):** The portion used in a single period (e.g., 2 lakhs/year) is the **Expense**. The remaining value remains an **Asset** in the books until it is fully depleted.

Mining Rights & Patents:

- **Scenario:** Obtaining a mining right for 10 years or a patent for 5 years.
- **Classification: Asset**.
- **Reasoning:** These are rights/benefits that provide value for multiple years beyond the current reporting period.

Sale of Scrap/Old Assets:

- **Scenario:** Selling old computers or vehicles that have reached 100% depreciation.
- **Classification: Other Income**.
- **Reasoning:** This is not the primary business operation (Revenue), but it is income generated from assets no longer in active use.

Discount Treatment:

- **Discount Allowed (to customers): Expense**.
- **Discount Received (from suppliers): Income**.

Raw Materials:

- **Rule:** These are technically **Assets** (Inventory) because they can be used in the next accounting period.

Loan vs. EMI (Debt vs. Payment):

- **Scenario:** A company takes a loan of 10 lakhs to buy property and pays it back via monthly EMIs.
- **The Loan:** The total debt of the loan is a **Liability**.
- **The EMI:** The payment made during a specific period is an **Expense**.
- **Reasoning:** Even though the EMI payment "reduces" the liability of the loan, the payment itself is an expense for that period (similar to how a 10 lakh machine is "expensed" slowly over 5 years through depreciation).

Profit, Dividends, and Retained Earnings:

- **Profit:** Calculated as **Income - Expenses**.
- **Dividend:** The portion of profit shared/distributed back to the owners.
- **Retained Earnings:** The portion of profit not distributed to owners but is kept by the company for future use; added to "reserves and surplus."

Inventory Classification List (Quick Identification):

- **Car / Truck / Plant & Machinery: Asset**.

  - **Depreciation (on any of the above): Expense** (represents the value of the asset "consumed" or "used" during the specific period).
  - **Loan Given (to others): Asset** (it is a benefit for the company).
  - **Loan Given to Employees: Asset**.
  - **Loose Tools: Asset**.
  - **Bad Debts: Expense** (specifically when a debt is deemed uncollectable/cannot be recovered).
  - **Insurance Claim (accepted but not paid): Asset** (it is a confirmed future benefit).
  - **Accounts Receivable: Asset** (represents a customer's obligation to pay).
  - **Sales: Income**.
  - **Accounts Payable: Liability** (obligation to pay a supplier).
  - **Dividend Received: Income** (regularly received over time).
  - **Penalties (e.g., from non-payment of bills): Income**.
  - **Pre-received Income: Liability**.
- **Calculation of Accounting Equation Balance (based on standard items): This table demonstrates how specific transactions are handled within the "Simplified" formula by grouping items that behave similarly.** | Transaction | Asset 1 | Asset 2 | Expenses | Dividend Paid | LHS Total | Liabilities | Income | Owners Equity | RHS Total | | :--- | :--- | :--- | :--- | :--- | :--- | :--- | :--- | :--- | :--- | | Issue Equity shares | 50000 | | | | 50000 | | | 50000 | 50000 | | Loan taken from State Bank | 150000 | | | | 150000 | 150000 | | 150000 | 150000 | | Dividend Paid | | | | 5000 | -5000 | | | 5000 | 0 | | Interest paid | | -7500 | 7500 | | 0 | | 7500 | | 7500 | | Dividend Payable | | | | 8000 | | 8000 | | 8000 | 8000 | | Prepaid Interest (2025) | 8000 | -8000 | | | 0 | | | | 0 | | Prepaid Interest (Last Year) | | -8000 | 8000 | | 0 | | | | 0 | | Investing | | | | | 0 | | | | 0 | | Plant and Machinery Purchased | 50000 | | | | 50000 | | | 50000 | 50000 | | Depreciation (10%) | | | | | 0 | | | | 0 | | Sold machinery (Book Val 50k, Sale 48k) | | | | | 0 | | | | 0 | | Invest in equity shares | 70000 | | | | 70000 | | | 70000 | 70000 | | Interest income | | | | | 0 | | 20000 | | 20000 |

Formulas & Rules

- **Accrual Basis:** Revenue and expenses are recorded when they occur, not when cash moves.
- **Matching Rule:** Profit = Revenue - Expenses (where both must occur in the same period).

  Time-Based Classification:
  - **Asset/Liability:** Evaluated at a **Point in Time** (Focus: Future benefit vs. future obligation).
  - **Income/Expense:** Evaluated over a **Period** (Focus: Recurring operations within a specific timeframe).
- **Profit Formula:** Profit = Income - Expense.

  The Accounting Equation:
  - **Standard Form:** Asset = Liability + Owner's Equity.
  - **Simplified (No-Negatives) Formula:** Assets + Expenses + Dividends = Liabilities + (Opening Owner's Equity + Additional Capital) + Income.
  - **Reasoning:** This version is used to eliminate negative numbers from the calculation. It is based on the principle that **similar transactions should be grouped together**. Items on the LHS (Assets, Expenses, Dividends) are grouped because they share a similar "movement" profile (e.g., they are often related to an "out" flow of resources or are assets). Items on the RHS (Liabilities, Owner's Equity, Income) are grouped because they represent "in" flows or obligations.

  Debit/Credit Rules:

    Left Hand Side (LHS) - (Assets, Expenses, Dividends/Drawings):
    - Increase = Debit
    - Decrease = Credit

    Right Hand Side (RHS) - (Liabilities, Owner's Equity, Income):
    - Increase = Credit
    - Decrease = Debit

Tricky Logic & Traps

- **The "Materiality" Trap:** Materiality is not an absolute value; it is a **proportion**. Whether an item is "material" depends on the specific organization's size and the industry. (e.g., a $400 item might be "petty" for a factory but "substantial" for a small shop).
- **Accrual vs. Cash:** Students often confuse Accrual with "when we get paid." Clarify: Accrual means "certainty of occurrence." If you are reasonably certain the cash **will** be received or the expense **will** be incurred, it is recorded in that period regardless of current cash flow.
- **Asset/Liability Labeling:** When deciding between asset or expense, don't just look at the item's name; look at the **management perspective**. If the question asks about "Accounts Receivable," don't think of the "debt" (the customer's view); think of the "benefit" (the company's view).
- **Simplicity vs. Rules:** The "Materiality" rule is the specific allowance for the accountant to "break" standard rules (like depreciation schedules) when the value is so small that the effort to track it exceeds its importance.
- **Point in Time vs. Period Trap:** Do not treat Income/Expense as "forward-looking" or "backward-looking." Rather, distinguish them by their nature: Assets/Liabilities are **Point-in-Time** (future focus), while Income/Expenses are **Period-based** (operational focus).
- **Capitalization vs. Repair:** Do not be distracted by complex accounting terminology like "decapitalization." If a repair/overhaul provides the machine with a "new life" or significantly extends its useful life, it is a **Capital Expenditure (Asset)**.
- **Insurance Nuance:** Distinguish between the **Premium** (an Expense for a period) and the **Claim** (an Asset if it represents a certain future benefit).
- **Bad Debt Distinction:** A "Bad Debt" is an **Expense** (a loss in the current period), whereas "Bad Debt Recovered" is **Income**.
- **The "Employee as Asset" Trap:** Do not fall for the logic that a "productive" or "skilled" worker is an asset. Because their role is tied to a recurring salary payment, they are always an **Expense** because the benefit they provide is tied specifically to the period in which they are paid.
- **Lease vs. Ownership Distinction:** A contract's duration does not automatically determine its classification. If you are **leasing** a benefit that is consumed quickly (e.g., a 1-year license or short-term rental), it is an **Expense**. If you **own** a right with long-term benefit (e.g., a 10-year mining right), it is an **Asset**.
- **Raw Material Classification:** While often simplified as an expense in some reporting contexts, raw materials are technically **Assets** if they are intended to be used over a period or in the next period.
- **Revenue vs. Other Income:** Distinguish between standard business revenue and income from non-core activities (e.g., selling scrap). The latter is **Other Income**.
- **The "Expense vs. Liability" Conflation:** A common trap is thinking that because a payment (Expense) reduces a debt, the payment itself is not an expense. In the context of the four main definitions, **Expenses do not "become" liabilities**; they are distinct items. An EMI payment is an expense for the period, while the remaining loan balance remains a liability.
- **Bad Debt vs. Account Receivable:** A key distinction is "recoverability." An **Account Receivable** is a benefit (Asset) as long as it is expected to be collected. Once it is deemed uncollectible, it becomes a **Bad Debt** (Expense).
- **Dividend Received vs. Dividend Paid:** A **Dividend Paid** is a distribution of profit to shareholders (reduction of equity), while a **Dividend Received** is income from an investment in another company.
- **The "LHS vs. RHS" Grouping Logic:** A common point of confusion is the logic behind why certain items (like Expenses and Dividends) are placed on the "Asset" side of the equation. The reason is **Similarity of Transaction Behavior**. Items are grouped together because they share similar characteristics in the accounting cycle (e.g., Expenses and Dividends are grouped with Assets because they are both related to the "out" flow or consumption of value/resources). This allows for an all-positive calculation while still maintaining the balance between "Benefit" and "Obligation."

Exam Pointers

- **Identifying Assets/Liabilities:** Use the "Time Perspective" logic. If the question describes a transaction involving "pre-paid" amounts or "receivables," determine if the entity in question has a "future benefit" or a "future obligation" to decide the classification.
- **Context is Key:** For "Materiality" questions, the answer depends on the scale of the business provided in the prompt.
- **Duration Test:** If an item's benefit is intended to last beyond the current accounting period (e.g., a multi-year advertisement or a multi-year tool), it is an **Asset**. If it is consumed within the period (e.g., monthly insurance or salary), it is an **Expense**.
- **Capital Expenditure Check:** When evaluating a repair or overhaul, ask: "Does this give the asset a new life or significantly extend its life?" If the answer is yes, it must be capitalized as an **Asset**.
- **Ownership vs. Usage:** If you **buy** an asset (ownership), it's an **Asset**. If you **rent** a space or service for a period (usage), it is an **Expense**.
- **Sale of Scrap:** If an item is sold that is no longer useful to the core operation (100% depreciated), categorize as **Other Income**.
- **Dividends vs. Retained Earnings:** If the question asks about what happens to profit: if it is shared with owners, it is a **Dividend**; if it is kept by the company, it is **Retained Earnings**.

Sources

- Session 1 - FMA 2026.pdf
- FMA-Class 2 -2026 accting eqn (3).pptx
- Accounting Equations -solved and uploaded.xlsx
- Accounting Equations - intro.xlsx
- Statement of Profit and Loss and Balance Sheet.pptx
- Journal Ledger Trial Balance.xlsx

Screenshot Content

[shot_00-02-27.png] TITLE: Financial and Management Accounting Title Slide The slide is a title slide for a lecture on "Financial and Management Accounting" presented by Dr. Abhishek Sinha at BITS Pilani. It features a large image of a clock tower in the center background and the BITS Pilani logo on the left. The text on the slide includes: - "Financial and Management Accounting" (Main Title) - "By: Dr Abhishek Sinha; abhishek.sinha@pilani.bits-pilani.ac.in" (Instructor Information) - "BITS Pilani" and "Work Integrated Learning Programme - Division" (Institutional branding) - "Lecture 1.4-HM" (Note at the bottom left of the slide area)

[shot_01-45-43.png] (Note: This screenshot covers the section on calculation-based logic for the accounting equation and the specific identification of assets, liabilities, income, and expenses.)